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CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

MANAGEMENT OF BUSINESS

UNIT 1 – Paper 02

2 hours 30 minutes

13 MAY 2015 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE sections: A, B and C.
2. Each section consists of TWO questions.
3. Candidates MUST answer ONE question from EACH section.
4. Begin EACH question on a separate page.
5. Each question is worth 25 marks.

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02133020/CAPE 2015



SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

- 1.** Mr Moon's restaurant is currently facing increasing competition from nearby restaurants. His partner has suggested including burgers and jerk chicken on the menu, but Mr Moon is not sure that this will solve the problem.
- (a) Define the term 'decision making'. **[2 marks]**
- (b) Outline TWO ways in which EACH of the following environmental factors may impact Mr Moon's decision to add jerk chicken or burgers to his offerings.
- (i) Information technology **[4 marks]**
- (ii) Government regulations **[4 marks]**
- (c) Discuss how EACH of the following steps in the rational decision making model may assist Mr Moon in deciding which option to choose.
- (i) Definition of problem **[3 marks]**
- (ii) Collection of data **[3 marks]**
- (iii) Development and analysis of alternatives **[3 marks]**
- (iv) Selection and implementation of alternatives **[3 marks]**
- (v) Evaluation **[3 marks]**

Total 25 marks

GO ON TO THE NEXT PAGE

2. Mr Star operates a small electronics store on a Caribbean island. The store specializes in the sale and repair of computers and cellphones. In today's globalized economy, Mr Star is becoming quite anxious about the survival of his firm, given the increased competition from large firms entering the market.

- (a) Define the term 'trade liberalization', giving an example. **[3 marks]**
- (b) Outline how EACH of the following features of information is important to Mr Star in light of the globalized economy in which his firm is operating.
 - (i) Relevance **[2 marks]**
 - (ii) Accuracy **[2 marks]**
 - (iii) Timeliness **[2 marks]**
- (c) Discuss TWO positive and TWO negative impacts of globalization on Mr Star's business. **[16 marks]**

Total 25 marks

GO ON TO THE NEXT PAGE

SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. Quick & Smart Supermarket recently acquired the assets of Chin's Self-Serve. Employees from both organizations must now work together to achieve the same goals. New management has been employed to operate Quick & Smart. Workers at Quick & Smart are complaining about the numerous changes that are taking place at the organization almost weekly, and that the managers do not seem to care about them at all.

(a) Define EACH of the following terms:

(i) Change management [2 marks]

(ii) Resistance to change [2 marks]

(b) Explain THREE likely reasons why the workers at Quick & Smart Supermarket are complaining about the changes that are taking place at their organization. [9 marks]

(c) Discuss THREE strategies that the senior managers of Quick & Smart Supermarket could adopt to manage the employees' resistance to the change. [12 marks]

Total 25 marks

4. Digits Ltd wants to increase its profitability in the cellphone market in the face of heavy competition from overseas cellphone service providers. The Human Resource Manager has decided that her department will focus on performance management in order to ensure that the employees provide excellent service to customers thereby increasing sales and profits to the company.

(a) Explain EACH of the following functions that the human resource manager at Digits Ltd has to perform:

(i) Recruitment [3 marks]

(ii) Selection [3 marks]

(iii) Compensation [3 marks]

(b) Distinguish between 'performance management' and 'performance appraisal'. [4 marks]

(c) It is said that performance appraisals must be done fairly in order to motivate workers to perform at their best. Discuss THREE ways in which the management of Digits Ltd can be fair in conducting the performance appraisal of workers. [12 marks]

Total 25 marks

GO ON TO THE NEXT PAGE

SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. The following information was taken from the records of Tropics Food Retailers Ltd and Carib Food Retailers Ltd for the year 2013.

Company	Current Assets (\$m)	Current Liabilities (\$m)
Tropics Food Retailers Ltd	120	60
Carib Food Retailers Ltd	480	480

- (a) (i) Define the term 'ratio analysis'. [2 marks]
- (ii) Outline TWO limitations of ratio analysis. [4 marks]
- (b) (i) Compute the current ratio for Tropics Food Retailers Ltd and Carib Food Retailers Ltd. [3 marks]
- (ii) Compare the performance of both companies based on your answer in (b) (i) above, highlighting TWO important points. [4 marks]
- (c) Accountants use ratios to assess various dimensions of financial performance of a business.

Explain how EACH of the following ratios may be useful in assessing the performance of Tropics Food Retailers Ltd and Carib Food Retailers Ltd.

- (i) Liquidity [3 marks]
- (ii) Profitability [3 marks]
- (iii) Efficiency [3 marks]
- (iv) Gearing [3 marks]

Total 25 marks

GO ON TO THE NEXT PAGE

6. Bob's Co Ltd is trying to decide whether to invest in a project which has an initial investment of \$200 000. The following table outlines the cash flows from Years 1 to 4 assuming a discount rate of 10%.

End of Year	Cash Flow (\$)	Discount Factor
1	60 000	0.909
2	80 000	0.826
3	40 000	0.751
4	60 000	0.683

- (a) Define the term 'investment'. [2 marks]
- (b) State TWO advantages and TWO disadvantages of EACH of the following investment appraisal methods.
- (i) Payback period [4 marks]
- (ii) Net present value (NPV) [4 marks]
- (iii) Average rate of return [4 marks]
- (c) (i) Compute the net present value for the project. [6 marks]
- (ii) State whether or not Bob's Co Ltd should invest in the project, outlining TWO reasons for your answer. [5 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.